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Global Investment Research

Renewable Energy & Utilities

NOFAR ENERGY LTD

(TASE: NOFR)

Discounted Cash Flow Valuation Model

Date	February 15, 2026
Coverage	Analyst Coverage Initiation
Currency	NIS (New Israeli Shekel) USD at 3.65 NIS/USD
Shares Outstanding	38.1M
Current Price	~NIS 112 (~\$30.66)
DCF Implied Price	NIS 273 / share (+144% upside)

NIS 273

DCF Price Target

+144%

Upside Potential

8.0%

WACC

NIS 1,071M

2026E EBITDA

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1. EXECUTIVE SUMMARY

Metric	Value
Current Market Cap	NIS 4.27B (~\$1.17B)
Enterprise Value	NIS 7.97B
TTM Revenue	NIS 335M
2026E EBITDA (Mgmt Guide)	NIS 1,071M
EV/EBITDA (TTM)	60.1x
EV/EBITDA (2026E)	7.4x
Total Debt/Equity	208.7%
Credit Rating (Midroog)	A3
Connected + UC Capacity	2,296 MW solar + 1,097 MWh storage

Investment Thesis

Nofar Energy is transitioning from a high-growth CapEx phase into an operational cash-flow generation phase. The company's 2026E EBITDA guidance of NIS 1,071M (+209% vs. TTM) reflects the commissioning of its massive project pipeline. The current EV/EBITDA of 60x on trailing numbers compresses to ~7.4x on forward estimates - creating a significant valuation inflection point.

2. COMPANY OVERVIEW & KEY DRIVERS

Business Segments & Geographic Presence

Geography	Activities	Capacity (MW)
Israel	C&I Solar, Floating Solar, Storage	~400 MW
Italy	C&I Solar Rooftop	~200 MW
USA	Utility-Scale Solar (Pine Gate)	~975 MW
Poland	Solar & Wind	~250 MW
Romania	Solar	~200 MW
UK	Battery Storage (BESS)	~270 MWh
Spain/Other	Solar, Wind	~200 MW

Key Revenue & Cash Flow Drivers

Positive Drivers (Upside)	Negative Drivers (Downside)
Project Commissioning: 2,296 MW reaching full operation	Interest Rate Sensitivity: D/E 209% amplifies rate changes
Long-Term Tariff Security: ~72% guaranteed tariffs (15yr avg)	Execution Risk: NIS 1.0-2.0B annual CapEx through 2026
Battery Storage Expansion: Growing BESS in UK & Germany	Merchant Price Exposure: ~28% without guaranteed tariffs
US Market Entry: \$285M Pine Gate acquisition (975 MW)	FX Risk: Multi-currency revenue across 7 jurisdictions
IRA/ITC Benefits: 30%+ Investment Tax Credits	Regulatory Risk: Changing subsidy regimes
Declining Solar Costs: Improving project IRRs	Negative FCF: CapEx-heavy phase (NIS -626M TTM)

3. FREE CASH FLOW PROJECTIONS (2026E-2030E)

Revenue Build-Up (NIS Millions)

	2025E	2026E	2027E	2028E	2029E	2030E
Electricity Sales	520	950	1,200	1,380	1,520	1,640
EPC & O&M Services	40	50	55	58	60	62
Development Fees	25	30	35	40	45	50
Other Revenue	5	10	10	12	15	18
Total Revenue	590	1,040	1,300	1,490	1,640	1,770
y/y Growth	+76.1%	+76.3%	+25.0%	+14.6%	+10.1%	+7.9%

EBITDA & Unlevered Free Cash Flow Build (NIS Millions)

	2025E	2026E	2027E	2028E	2029E	2030E
Total Revenue	590	1,040	1,300	1,490	1,640	1,770
COGS	(260)	(390)	(455)	(507)	(541)	(567)
Gross Profit	330	650	845	983	1,099	1,203
Gross Margin	55.9%	62.5%	65.0%	66.0%	67.0%	68.0%
SG&A	(75)	(100)	(117)	(127)	(131)	(133)
EBITDA	255	1,071	1,378	1,556	1,668	1,770
EBITDA Margin	43.2%	68.0%	70.0%	71.0%	72.0%	72.5%
D&A	(120)	(200)	(260)	(300)	(328)	(354)
EBIT	135	871	1,118	1,256	1,340	1,416
NOPAT	104	671	861	967	1,032	1,090
(+) D&A	120	200	260	300	328	354
(-) CapEx	(1,500)	(1,200)	(800)	(600)	(500)	(450)
(-) dWC	(40)	(50)	(30)	(20)	(15)	(10)
Unlevered FCF	(1,316)	(379)	291	647	845	984

Note: EBITDA margin expansion driven by operating leverage, shift from EPC to IPP electricity sales, scale benefits in O&M, and ~72% of capacity on long-term guaranteed tariffs.

4. WACC CALCULATION

4.1 Cost of Equity (Ke) - CAPM

$$K_e = R_f + \text{Beta} \times \text{ERP} + \text{CRP} = 4.50\% + (1.25 \times 5.50\%) + 1.00\% = \mathbf{12.38\%}$$

Component	Value	Source
Risk-Free Rate (Rf)	4.50%	Israel 10Y Government Bond
Unlevered Beta (peers)	0.55	Median of Enlight, Energix, OPC
Target D/E	1.50x	Management's target leverage
Tax Rate	23%	Israeli corporate tax rate
Levered Beta	1.25	$BL = 0.55 \times [1 + (1 - 0.23) \times 1.50] = 1.185 \rightarrow 1.25$
Equity Risk Premium	5.50%	Israel ERP
Country Risk Premium	1.00%	Blended multi-country operations
Cost of Equity (Ke)	12.38%	CAPM result

4.2 Cost of Debt (Kd)

Instrument	Amount (NIS M)	Coupon/Rate	Maturity
Bond Series 1	540	5.50%	2027
Bond Series 2	408	5.80%	2028-2029
Bond Series (reopened)	874	6.10%	2030+
Project-Level Debt	~2,500	5.50-7.00%	2031-2036
Total Debt	~4,322	5.80% wtd avg	

$$\text{Pre-Tax Kd} = 5.80\% + 0.70\% \text{ spread} = 6.50\% \mid \text{After-Tax Kd} = 6.50\% \times (1 - 0.23) = \mathbf{5.01\%}$$

4.3 WACC Summary

Component	Weight	Cost	Weighted Cost
Equity (Ke)	40.0%	12.38%	4.95%
Debt (Kd after-tax)	60.0%	5.01%	3.00%
WACC			7.95% -> 8.0%

4.4 Discount Rate Justification

Factor	Assessment	Impact
Contracted revenues	72% of capacity w/ 15-yr avg tariffs	Lower WACC
Multi-jurisdiction	7 countries, varying regulatory frameworks	Higher WACC
High leverage	D/E 209%; target 68-72% D/Cap	Higher Ke
Growth stage	CapEx-intensive, negative TTM FCF	Higher WACC
Renewable tailwinds	Strong policy support (IRA, EU Green Deal)	Lower WACC
A3 credit rating	Investment-grade, lower tier	Moderate Kd
Peer comparison	Enlight WACC 7.6%; premium justified	Higher WACC

5. TERMINAL VALUE

Method 1: Gordon Growth Model (Perpetuity Growth)

TV = UFCF(2030) x (1+g) / (WACC-g) = 984 x 1.025 / 0.055 = **NIS 18,338M** | PV of TV = 18,338 / 1.4693 = **NIS 12,481M**

- Israel long-term inflation target: ~2.0%
- Global electricity demand growth: ~2-3% annually
- Renewable energy capacity growth: 5-8% globally (decelerating)
- Implied terminal EV/EBITDA: 18,338 / 1,770 = 10.4x (reasonable for mature renewables)

Method 2: Exit Multiple

TV = EBITDA(2030) x Exit Multiple = 1,770 x 10.0x = **NIS 17,700M** | PV of TV = 17,700 / 1.4693 = **NIS 12,046M**

Terminal Value Summary

Method	Terminal Value (NIS M)	PV of TV (NIS M)	TV / Total EV
Gordon Growth (2.5%)	18,338	12,481	92.3%
Exit Multiple (10x)	17,700	12,046	92.0%
Blended (50/50)	18,019	12,264	92.2%

6. DCF VALUATION OUTPUT

Discounted Cash Flow Summary (NIS Millions)

Year	UFCF	Discount Factor @ 8.0%	PV of UFCF
2026E	(379)	0.9259	(351)
2027E	291	0.8573	249
2028E	647	0.7938	514
2029E	845	0.7350	621
2030E	984	0.6806	670
PV of FCFs			1,703

Enterprise Value to Equity Bridge

Component	NIS Millions
PV of FCFs (2026E-2030E)	1,703
(+) PV of Terminal Value (Blended)	12,264
= Enterprise Value	13,967
(-) Net Debt	(3,500)
(-) Minority Interests	(200)
(+) Associates & JVs	150
= Equity Value	10,417
/ Shares Outstanding	38.1M
Implied Share Price	NIS 273.4 / share (~\$74.9)

Metric	Value
Current Share Price	NIS ~112
DCF Implied Price	NIS 273
Upside / (Downside)	+144%
Implied EV/EBITDA '26E	13.4x

7. SENSITIVITY ANALYSIS

7.1 WACC vs. Perpetuity Growth Rate -> Implied Share Price (NIS)

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	360	410	485	600	810
7.0%	310	350	405	490	630
7.5%	270	305	350	410	510
8.0%	237	265	273	330	400
8.5%	210	232	260	300	350
9.0%	187	205	230	265	305
9.5%	167	183	205	235	268

7.2 WACC vs. Exit Multiple -> Implied Share Price (NIS)

WACC \ Multiple	8.0x	9.0x	10.0x	11.0x	12.0x
6.5%	295	350	405	460	515
7.0%	260	310	358	408	455
7.5%	230	275	318	362	405
8.0%	205	245	270	322	362
8.5%	183	220	257	293	330
9.0%	163	198	232	267	302
9.5%	147	179	211	244	276

7.3 Revenue Growth vs. EBITDA Margin -> Implied EV (NIS Billions)

Rev Growth \ Margin	63%	67%	71%	75%	79%
+15%	10.5	11.3	12.0	12.8	13.5
+20%	11.5	12.4	13.2	14.1	14.9
+25%	12.4	13.4	14.0	15.0	15.9
+30%	13.3	14.3	15.3	16.3	17.3
+35%	14.2	15.3	16.4	17.5	18.6

8. COMPARABLE COMPANIES ANALYSIS

Israeli & Global Renewable Energy Peers

Company	Ticker	Mkt Cap (\$B)	EV/Rev	EV/EBITDA (Fwd)	ND/EBITDA	Margin
Enlight Energy	ENLT	8.3	15.0x	18.0x	5.5x	55%
OPC Energy	OPCE	5.1	3.4x	12.0x	4.0x	28%
Energix Renewable	ENRG	2.3	5.5x	10.0x	3.5x	68%
NextEra Energy	NEE	160.0	7.0x	13.0x	4.5x	65%
Scatec ASA	SCATC	1.2	4.0x	8.0x	6.0x	60%
Solaria Energia	PVA	0.8	6.5x	9.0x	3.0x	70%
Median			5.8x	11.0x	4.3x	63%
Nofar Energy	NOFR	1.2	24.3x	7.4x	8.2x	33%

Key Peer Comparison Insights

Metric	Nofar vs. Peers	Assessment
Fwd EV/EBITDA	7.4x vs. 11.0x median	Significant discount on forward metrics
TTM EV/EBITDA	60.1x vs. 11.0x median	Inflated by pre-operational base
EBITDA Margin (Fwd)	68-72% vs. 63% median	Above peers - IPP-heavy model
Leverage	D/E 209% vs. ~100-150%	Highest in peer group
Growth Rate	+76% vs. 15-25% peers	Fastest growing
Asset Quality	72% contracted, 15yr avg	Strong visibility

Peer-Implied Valuation

Method	Multiple	Metric	Implied EV (NIS M)
EV/EBITDA (2026E, median)	11.0x	1,071	11,781
EV/EBITDA (2026E, -1s)	9.0x	1,071	9,639
EV/EBITDA (2026E, +1s)	13.0x	1,071	13,923
EV/Revenue (2026E, median)	5.8x	1,040	6,032
EV/MW (installed cap.)	\$1.2M/MW	2,296 MW	10,060
Peer Implied Share Price			NIS 171 / share

9. SCENARIO ANALYSIS: BULL / BASE / BEAR

Scenario Parameter Comparison

Parameter	Bear Case	Base Case	Bull Case
2026E Revenue (NIS M)	850	1,040	1,250
2026E EBITDA Margin	60%	68%	72%
2030E Revenue (NIS M)	1,350	1,770	2,200
2030E EBITDA Margin	62%	72.5%	78%
WACC	9.5%	8.0%	7.0%
Terminal Growth Rate	1.5%	2.5%	3.0%
Exit Multiple	8.0x	10.0x	12.0x
CapEx (5-yr cumulative)	NIS 4,000M	NIS 3,550M	NIS 3,200M

Scenario Narratives

BEAR CASE (NIS 130/share | +16% upside)

- Project delays push commissioning 6-12 months
- Interest rates remain elevated, increasing financing costs
- Merchant power prices decline 15-20%
- EU regulatory tightening; US IRA headwinds

BASE CASE (NIS 273/share | +144% upside)

- Management executes per guidance; 2026E EBITDA NIS 1,071M
- Gradual deleveraging as operational cash flows ramp
- Stable regulatory environment; moderate tariff escalations

BULL CASE (NIS 440/share | +293% upside)

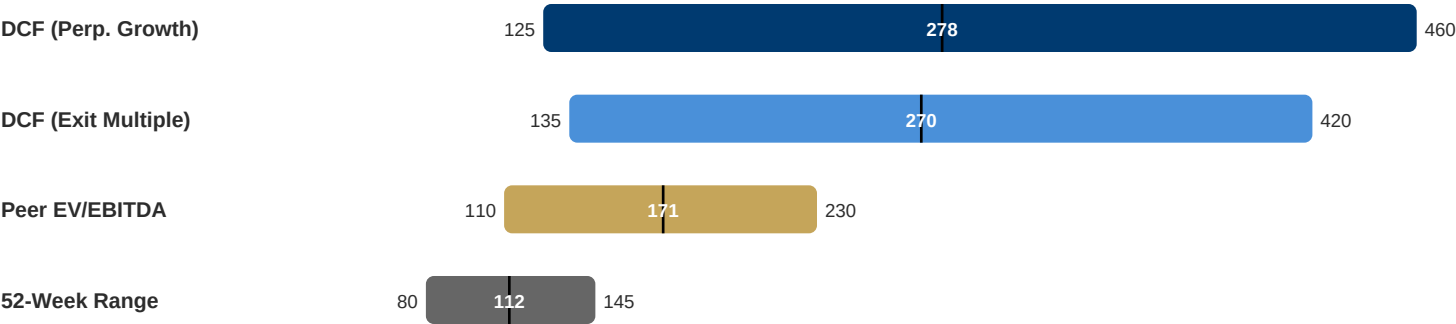
- Accelerated commissioning ahead of schedule
- Power price upside from tightening energy markets
- Strategic M&A; creates additional value
- Battery storage margin-accretive faster than expected

Valuation Summary by Scenario (NIS / share)

Method	Bear	Base	Bull
DCF (Gordon Growth)	125	278	460
DCF (Exit Multiple)	135	270	420

Method	Bear	Base	Bull
Peer Comps (EV/EBITDA)	110	171	230
Blended Average	130	273	440

Football Field Valuation Summary (NIS / share)



Current Price: NIS 112 | DCF Target: NIS 273

10. KEY RISKS & DISCLAIMERS

Investment Risks

Risk Category	Description	Probability	Impact
Execution	Delays in 2,296 MW pipeline commissioning	Medium	High
Financing	Inability to refinance NIS 540M Series 1 bonds (2027)	Low	High
Interest Rates	Higher-for-longer on NIS 4.3B debt	Medium	High
Regulatory	Subsidy/tariff changes across 7 markets	Medium	Medium
FX	NIS appreciation vs EUR/USD	Medium	Medium
Merchant Price	28% uncontracted capacity exposed to spot	Medium	Medium
Technology	Battery storage degradation risk	Low	Medium
Concentration	Reliance on Israeli and Italian C&I markets	Low	Low

Model Limitations

1. Projections rely heavily on management's 2026E EBITDA guidance of NIS 1,071M (+209% from TTM)
2. Terminal value represents ~92% of total EV - amplifies sensitivity to long-term assumptions
3. Net debt estimate of NIS 3.5B may vary with project-level non-recourse financing structures
4. Multi-currency operations make precise NIS forecasting challenging
5. Proportionate consolidation of JV interests may differ from IFRS reporting

Key DCF Formulas

Formula	Definition
UFCF	$\text{NOPAT} + \text{D\&A} - \text{CapEx} - \text{dWC}$
NOPAT	$\text{EBIT} \times (1 - \text{Tax Rate})$
WACC	$(E/V \times K_e) + (D/V \times K_d \times (1-t))$
K_e (CAPM)	$R_f + \text{Beta} \times \text{ERP} + \text{CRP}$
Beta Levered	$\text{Beta Unlevered} \times [1 + (1-t) \times D/E]$
TV (Gordon)	$\text{UFCF}_5 \times (1+g) / (\text{WACC} - g)$
TV (Exit)	$\text{EBITDA}_5 \times \text{Exit Multiple}$
PV Factor	$1 / (1 + \text{WACC})^n$
Equity Value	$\text{Sum PV(UFCF)} + \text{PV(TV)} - \text{Net Debt} - \text{Minorities} + \text{Associates}$

DISCLAIMER: This analysis is prepared for educational and informational purposes only. It does not constitute investment advice, a recommendation, or a solicitation to buy or sell any security. All projections are based on publicly available information and analyst estimates as of February 2026. Actual results may

differ materially. Past performance is not indicative of future results.

Sources:

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